

HUF: AN AVENUE FOR TAX SAVING

- The biggest reduction from tax payment comes from transferring ancestral property to the HUF
- In this instance, the major chunk of earnings of the HUF is taxed at the lowest slab rate

INCOME FROM VARIOUS SOURCES	INDIVIDUAL'S RETURNS	HUF'S RETURNS	
	EARNINGS OF X BEFORE FORMATION OF HUF	EARNINGS OF X AFTER FORMATION OF HUF	EARNINGS OF HUF
A) Salary	₹24,50,000	₹24,50,000	0
B) House rent of ancestral property	₹10,00,000	–	₹10,00,000
C) Standard deduction on house property (30% of 10,00,000)	₹3,00,000	–	₹3,00,000
D) Income from house property (B-C)	₹7,00,000	–	₹7,00,000
E) Total taxable income (A+D)	₹31,50,000	₹24,50,000	₹7,00,000
F) Section 80C	₹1,50,000	₹1,50,000	₹1,50,000
Net taxable income (E-F)	₹30,00,000	₹23,00,000	₹5,50,000
Tax payable (calculations based on slab rates of the old regime, including health and education cess of 4% + Interest under Section 234B & 234C)	₹7,85,830 (Tax ₹7,12,500 + ₹28,500 cess + ₹7,410 interest u/s. 234B + ₹37,416 interest u/s. 234C)	₹5,54,210 (Tax ₹5,02,500 + ₹20,100 cess + ₹5,226 interest u/s. 234B + ₹26,385 interest u/s. 234C)	₹24,810 (Tax ₹22,500 + ₹900 cess + interest ₹234 u/s. 234B + interest ₹1,176 u/s. 234C)

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NOTE THIS IS PURELY FOR REPRESENTATION PURPOSES **SOURCE** BT RESEARCH

₹7,85,830

**TOTAL TAX
PAID BY X**

₹5,79,020

**TOTAL TAX PAID BY
X AND HUF**

₹2,06,810

**TAX SAVING DUE TO
FORMING AN HUF**

DUE TO THIS TAX ARRANGEMENT, X SAVES TAX OF ₹2,06,810. MOREOVER, THE INCOME OF THE HUF CAN BE INVESTED BY THE HUF AND WILL CONTINUE TO BE TAXED IN THE HANDS OF THE HUF

sultancy RSM India, says, “Section 56(2)(x) of the Income Tax Act (I-T Act) provides that receipt of any sum of money or property without adequate consideration will be subject to tax in the hands of the recipient under the heading ‘income from other sources’.”

Nevertheless, transferring residential property to a spouse will trigger the clubbing provisions of rental income. “Section 27 of the I-T Act directs that an individual transferring any house property otherwise than for adequate consideration to his or her spouse (not in connection with an agreement to live apart) shall be deemed to be the owner of the house property so transferred. Accordingly, rental income accruing on such property shall be taxable to the deemed owner under the heading ‘Income from House Property,’” says Surana.

THE HUF ROUTE

There are, however, some other legal means beyond transfers that a married couple can use to reduce taxes. One such method is forming a Hindu Undivided Family, or HUF. This is a creature of the law akin to trusts. But where it differs from a trust is that it consists of all males lineally descended from a common ancestor, their wives and daughters. From the income tax point of view, an HUF is a separate legal entity with an independent set of tax liabilities and exemptions. For instance, you can receive rental income from a property on behalf of an HUF. The tax authorities levy taxes on profits generated from the family business under the HUF, with exemptions that provide greater leverage for tax savings. This way, an HUF can help reduce tax outgo.